

Planning Example 2:

Husband 62, and Wife 59 both have upcoming retirements. He is a truck driver for Walmart, and she works part-time as a travel agent. This is a great case that aligns more closely with the profile of an average midwestern retiree couple. The husband has worked for the same company for 25+ years, and they keep spending to a minimum. They live on a family farm with 300 acres (which is split between the wife's brother) and earn 25,000 per year from renting farmland.

Current assets include:

House and farm land: \$1,000,000 roughly (their portion)

Husband 401k: \$1,054,000

Wife SEP IRA: \$137,000

CD at Bank: \$105,000 earning 3.75%

Cash in checking: \$60,000

No debt.

Monthly spending is around \$6,000.

Social Security:

- For the husband at FRA is \$3,155 per month.
- For the wife at FRA is \$1659

Built a plan in MoneyGuidePro, an investment proposal in Nitrogen, a mock 2026 tax return return to showcase what taxes look like when retired, and an IncomeLabs withdrawal analysis.

Social Security:

There are a few options available. With the husband being older and the higher earner, the best long-term option is for the wife to claim first (anywhere from 62 to FRA depending on income needs) while the husband delays until age 70. Since his FRA benefit is much larger at \$3,155, waiting until 70 increases it by about 24% to roughly \$3,910/month. It creates a larger lifetime check and the biggest survivor benefit for the wife if he passes first. It can take a little pressure off of the portfolio withdrawals, but still plan for longevity.

Another option could be for both to take at 62. The clients both expressed interest in wanting to travel a lot in post retirement, when it comes to looking at social security, not only should you be looking at lifetime benefit, but also the alternative. If you delay Social Security, you still have your monthly expenses. The need for money can be supplemented with withdrawals from your portfolio. This puts more pressure on your portfolio in years with no other income streams, and decreases balances. The sequence of returns could be a larger risk factor during this time. Retirement spending usually follows the Go GO years, the slow go years, and the no go years. Spending increases, decreases, then increases again at end of life.

Physically, having a guaranteed fixed income stream can let retirees feel like they can comfortably spend more and decrease anxiety. It is a huge mental shift going from accumulation of assets, to decumulation.

In addition, by taking SS earlier, the portfolio can grow more, leaving more assets for their one beneficiary child. SS can not be passed to beneficiaries; assets can. It's important to look at lifetime ending assets while thinking about Social Security.

House sale analysis:

At some point in the future, they may want to sell their house. Their basis is 150k. They will receive the 500k gain exemption, but they will have a portion that is a gain. Likely 400k or more. While this will be a few years away, some things to think about include:

- A majority of the property is farm land, and there is an increased 60% exemption for State tax.
- The sale of the house during Medicare years will increase MAGI, and therefore jump them into a higher IRMAA bracket. Part B premiums will increase.
- If it is kept till the death of spouse 1, then the whole property would get a step-up in basis.

Investments:

The husband has a very high risk profile. His current 401k is 100% equities, with $\frac{1}{3}$ in each: BlackRock Large Cap index, BlackRock International Index, and a BlackRock Russell 1000 index. He has had strong growth over the last 5 years.

The biggest risk of being 100% equities right as retirement begins is sequence-of-returns risk, and it's one of the most dangerous risks in all of retirement income planning. If the market drops hard in your first 3–5 years of retirement, you're forced to sell shares at depressed prices to fund spending. That permanently reduces the number of shares left to participate in the recovery, which can dramatically shorten portfolio life. Even if long-term average returns are strong, bad returns early matter much more than bad returns later.

Stocks solve inflation risk, but cash and bonds solve timing risk. Retirement needs both.

We ran through different allocation holdings and what that could mean for performance and risk. Ideally, we would be working along the lines of a bucketing method, where we have 3-5 years of expenses in conservative to moderate risk holdings, which can be sold in down years. The rest can be allocated towards more growth-oriented investments. The buckets could follow a simple yearly rebalancing.